Unlocking Mortgage Lock-In: Evidence From a Spatial Housing Ladder Model

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Discussion by
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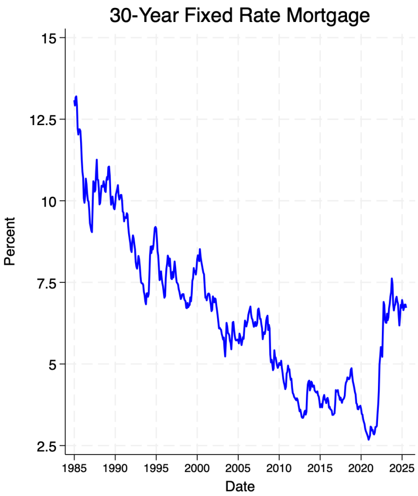
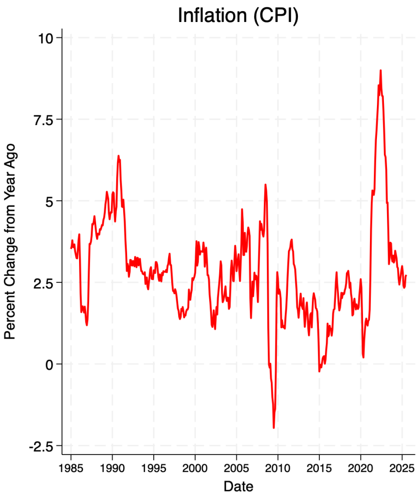
Summary

- **Questions**:
  - What is the effect of mortgage lock-in on house prices?
  - What are the effects of policies designed to alleviate lock-in?
- **Approach:**
  - IV framework to identify PE effects of lock-in on prices and mobility
  - Housing ladder model to study GE effects of lock-in
  - Counterfactual analysis of policies designed to alleviate lock-in
- **Findings:**
  - Lock-in raises prices + disproportionally lowers mobility of downsizers
  - Tax credit for sellers unlocks lock-in but regressive and inefficient

Comment 1

Background





- 30-year FRM reached historical low in 2021
- Most aggressive tightening since late 1970's (30-year FRM rose by 5 ppt)
- **Unprecedented tightening cycle led to unprecedented mortgage lock-in**

Unprecedented Mortgage Lock-In

- Borrower takes 30-year FRM of $\$L$ at rate r_0. After origination rate increases to r_1
- PV of mortgage if stay $= \sum_{t=1}^{360} \frac{m(r_0, L)}{(1+r_1)^t}$, PV of mortgage if move $= \sum_{t=1}^{360} \frac{m(r_1, L)}{(1+r_1)^t}$
- Difference between the two is cost of moving (higher means borrower more locked in)

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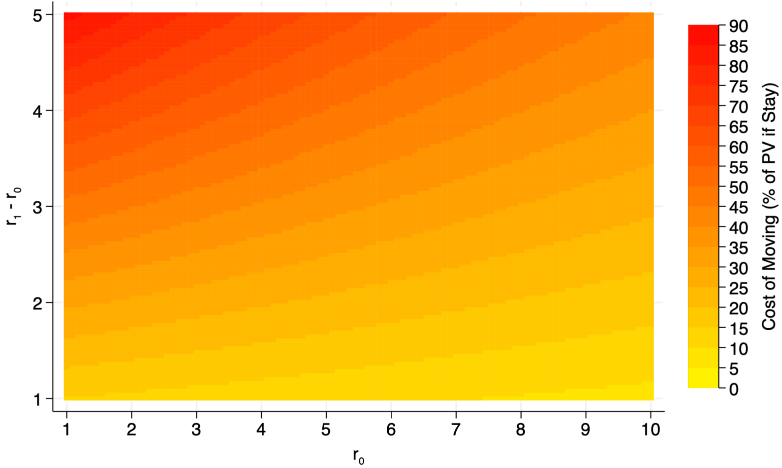
- **Cost of moving $\uparrow$ when $r_1 - r_0 \uparrow$ and when $r_0 \downarrow$** (duration of mortgage convex)



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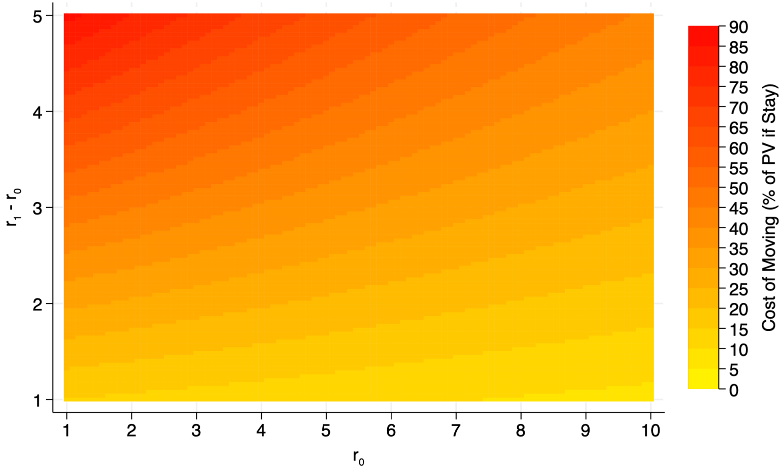
- **How worried should we about mortgage lock-in going forward?**



Comment 2

Does Mortgage Lock-In Explain House Price Dynamics?

- Paper shows that mortgage lock-in **affects** house prices
  - Does not imply that lock-in **explains** variation in house prices
  - Causation does not imply variation! (John Cochrane, 11/09/2025)
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- Good reason to suspect lock-in is important for elevated house prices in US
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  - Other countries: ARMs or shorter-term FRMs, prices fell sharply

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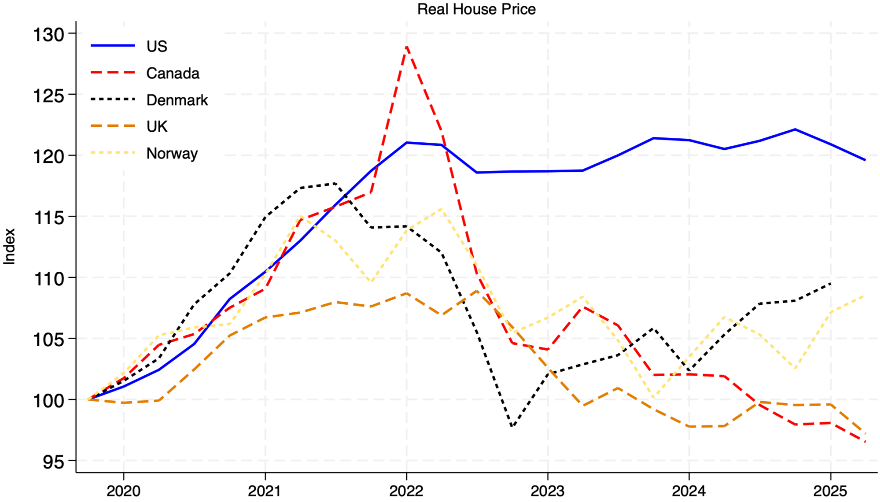

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  - US: long-term FRMs, house prices remained elevated
  - Other countries: ARMs or shorter-term FRMs, prices fell sharply
- My suggestion: use the model to quantify role of lock-in
  - Transition 1: shock baseline economy with observed path of rate, income, transfers + preference shift to match 21'-23' price growth
  - Transition 2: same path but eliminate lock-in

Comment 3

Unlocking Mortgage Lock-In

Should we unlock lock-in?

- Borrowers optimally choose FRMs which allow locking in low rate
- Without externalities of lock-in, difficult to justify govt intervention
- Lock-in leads to misallocation of labor (Fonseca and Liu 2024)

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Unlocking Mortgage Lock-In

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How to unlock lock-in?

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  - Inefficient - pays non-locked-in sellers
  - Unequal - targeted at upsizers
- Future work: introduce portability to mortgage contracts
  - Lock-in is feature of contract. To unlock lock-in, redesign contract!
  - But in GE, portable mortgages should carry higher rate
  - Can limit credit access
  - Need model of mortgage design with endogenous pricing

Thank You!